

The Claremont City Council held a meeting on Wednesday, September 19, 2018, in the Council Chambers of City Hall.

The meeting was called to order by Mayor Lovett at 6:30 p.m.

Members of the Council present were:

At-Large Councilor Claire Lessard
Ward I Councilor Andrew O'Hearne
Ward III Councilor Jonathan Stone
Assistant Mayor Allen Damren
Mayor Charlene Lovett
At-Large Councilor Jeremy Zullo
At-Large Councilor Abigail Kier
At-Large Councilor Nicholas Koloski
Ward II Councilor Scott Pope

Also present:

Ryan McNutt, City Manager

AGENDA CHANGES

None

CITIZEN'S FORUM

Chad Rolston, Ward 3, said he is a Democratic candidate running for State Representative in Ward 3. He wants to give back to the community. He has a background in finance. He said outgoing State Representative Ray Gagnon is endorsing him.

OLD BUSINESS

Abatement/Assessment Discussion

Mayor Lovett said tonight's meeting will focus on the process of assessment abatement including whether or not the process should be maintained as is or modified.

Mr. Koloski said he would recuse himself as he is a tenant in the property to be discussed. He asked if there were any other conflicts of interest. No other Councilors responded. At 6:36 p.m. Mr. Koloski stepped down from the Council table.

Shawn Tanguay, Attorney with Gardner Fulton and Waugh, gave some legislative history of how the assessment abatement process works. The statutory history is that assessors have the power

to abate tax. Claremont is a city form of government. According to the City Charter, the assessor is appointed by the City Manager. The City Code authorizes the assessor to act on all appeals for and on behalf of the City. The City Council plays no role in the review or consideration of particular tax appeals. The role of the City Council, if it so chooses, is to review the current process for changes to improve the process. The City Council has no authority, pursuant to the Charter or state law, to consider merits of an abatement application, or decision therefrom. Regarding whether or not the Assessor is a contracted person, Mr. Tanguay said the Charter indicates the City Manager is in charge of City employees and officers. The Assessor's employment status is irrelevant.

When asked about discussing one particular property's abatement, Mr. Tanguay said the decision for the abatement was made by the Assessor; the Assessor is supervised by the City Manager; pursuant to the Charter, there is a non-interference clause and the City Council cannot interfere with the direction and supervision of City employees and officers. If the City Council were to consider the merits or actions of the City Assessor, that possibly could constitute a violation of that non-interference provision.

Joe Lessard, Interim Assessor, briefly explained the valuation process. He explained that determining value is a judgement call based on education and experience of the Assessor. Once the taxes are committed in the fall, taxpayers can request an abatement of a portion of the taxes if they believe the assessed value is excessive. If there is a disagreement, they can appeal to the BTLA (Board of Tax and Land Appeals) or to Superior Court. State statute gives taxpayers until March 1 to file for an abatement and then the Assessor has to respond back to them by July 1.

Mr. Lessard said that assessment of commercial properties is based on sales, but there are not many sales of commercial properties in Claremont. In addition to sales, you can look at the income approach valuation: real estate rent and expenses of the real estate, not the business. The third approach is cost approach; you look at sales of land for land values and you look at the cost to replace the building. Cost approach is tough especially if it is not a new property.

Mr. O'Hearne asked if the Assessor gets direction from the City Manager. Mr. Lessard said in terms of abatements, no. There is direction of the office, but not with regard to abatements.

Regarding abatement for good cause, Mr. Tanguay said the most common is fair market value. There are other factors such as poverty, inability to pay taxes. However, you have to show true poverty. A bad business year does not necessarily mean property values are lowered.

There was a brief discussion of RSA 76:19-a, Abatement for Brownfields Property. Mr. Lessard said contamination (brownfields) affects value, so it needs to be considered when looking at the value of a property. Mr. Tanguay said RSA 76:19-a provides flexibility to the timeline. This is a special provision that is rarely utilized. It allows prior years' taxes and interest to be abated. This statute allows property owners to seek abatements for multiple years and receive that relief in order to effectuate the cleanup of the property. With the RSA 76:16-a, By Board of Tax and Land Appeals, change in 2014, the City now has the ability to go back to address those taxes.

Mayor Lovett asked for the dollar value of abatements for the year. Mr. Lessard said since December 2017, there have been 79 abatements totaling \$980,000+.

There was a question about when the City Manager is made aware of the assessments. Mr. McNutt said he is usually made aware of the larger residential ones, most all of the commercial ones or if there is a “tricky” residential one. The vast majority of the 79 abatements were proforma.

When asked whether or not the City Manager has a role in reversing an Assessor’s decision, Mr. Tanguay said there is nothing in the Charter or statute that would allow the City Manager to reverse the decision of the Assessor. He would expect the City Manager to be in consultation with the Assessor often about especially larger abatements, because it affects the City’s taxes. The City Manager’s role is to assure the City Assessor is doing his job.

Joe Osgood, Ward 2, talked about the Topstone building abatement. He was concerned about the Assessor’s ability to determine just cause.

Marie Lozito, Ward 1, said that at a minimum, Council should review any major abatements.

Paul LaCasse, Ward 2, questioned how Topstone’s assessment could drop from \$600,000 to \$175,000. He said the solution is to create a Board of Assessors.

Mr. Tanguay said it was not appropriate for Mr. Lessard to answer questions regarding Topstone. The Assessor answers to the City Manager and it would not be appropriate to question the performance of the Assessor in this venue. He was concerned with the non-interference provision of the Charter.

Greg Belisle, Ward 2, has a problem with the City Manager not being more involved with the abatement and \$222,000 disappearing.

Patrick Lozito, Ward 1, said if there was a violation of state law, the Council should be concerned and it should be investigated.

Cindy Haynes, Ward 2, said she has been a realtor for 35 years and has always tried to promote Claremont and to justify Claremont’s property taxes being the highest in the state because of the services available. She asked questions about the \$222,000 abatement.

Mr. Tanguay recommended Council not request the Assessor answer those questions, because it speaks to a particular matter that is outside the purview of the Council.

Mr. Tanguay said the question regarding operation of the Assessor’s office and the performance of the Assessor should be addressed to the City Manager’s office. Council has no role in abatement cases.

Mayor Lovett said Council's role is to create a process that works and this process could be improved.

Walter Stapleton, Ward 3 resident and candidate for NH House of Representatives District 5, talked about information he got off the Sullivan Report website regarding the Topstone building value being reduced from \$670,400 to \$175,000. He suggested the Council and City commission an audit for this and then open it up for the public.

Cynthia Howard, Ward 2, asked what the City is trying to hide because there was no informational packet available for the public. Mayor Lovett said the purpose of this meeting was to discuss the process. If Ms. Howard wants documents, she could make a right-to-know request. Ms. Howard said this is an economic giveaway to special interests. She called it corporate welfare. She fears a precedent is being set for future lawsuits. When people challenge the budget, they are told that it can't be cut because we have to maintain the services. She said economic development starts with lower taxes and less regulation.

Nick Koloski, Ward 3, said he fully believes this process is flawed. He was hoping to hear substance at this meeting. He wanted to hear a discussion of the merits of the Topstone building. He said it was previously publicly stated that the Topstone building (in which he is a tenant) had multiple code violations. That is false. He said the property has been said to be contaminated, but that is false. The building is on City water and sewer. All the occupied spaces in the building are up to code. His restaurant is inspected every six months by state law. He recommended state law makers look at the required 18% interest for unpaid taxes.

Mr. Koloski said he recused himself because he is a renter in the Topstone property. He requested that the Council revisit its Conflict of Interest Policy. He asked why a July 3 letter from the Topstone property owner, addressed to the City, was not read into the public record. The same letter was also sent to the Mayor. Mr. Koloski read from the letter saying that previously the Council had discussed the Topstone building and that the discussions had included City Councilor Jonathan Stone. The author perceived this to be a conflict of interest as it is his understanding that Councilor Stone is a business partner of Mark Limoges. Mr. Limoges had contacted the Topstone property owner about acquiring the property. The author requested this perceived conflict of interest be entered into the record. Mr. Koloski continued on regarding the recent appointment of Mr. Limoges to a City board even though he wrote no on the application when asked if he were related to any City employees or has done business with any City employee or board member. Mr. Limoges was another seated Councilor's mortgage holder and they have conducted real estate transactions. Mr. Koloski suggested public disclosure and that he should not be the only one to recuse himself with regard to this building.

Mr. Stone asked who the author of the letter is. Mr. Koloski said John Calkins.

Ms. Kier asked if it can be verified that the letters were received and why they were not read into the record. Mayor Lovett said she was taken by surprise. She will get an answer.

Joe Osgood, Ward 2, said until Mr. Koloski spoke up, his business was not mentioned and it should not be mentioned. He did research on the state's website about soil contamination on that property. He said Mr. Koloski is correct, nobody should avoid his business. He said it is unknown where the contamination is coming from.

Mayor Lovett said during the break, it was agreed, after speaking with Mr. Tanguay, Mr. McNutt and Mr. Lessard, to adjourn the Council meeting and Mr. McNutt and Mr. Lessard will stay to answer questions regarding the Topstone building. She reminded everyone that this meeting was called to discuss the process. She said there will be some changes. Ending the Council meeting will allow people to ask questions directly of the City Manager and Mr. Lessard.

Mayor Lovett said before the Council meeting that she had already started looking at changes. She talked about Keene's Board of Assessors. She said she also looked at other cities (Concord, Lebanon and Berlin). She suggested to the Council that the Policy Committee should immediately look at a Board of Assessors and how it is constituted, and what the powers and responsibilities are. She suggested having the City Manager and Mr. Lessard attend the Policy Committee meeting, then have the Policy Committee bring to the Council for approval the establishment of a Board of Assessors.

Mr. Pope asked for continual updates on this from the Policy Committee.

Mr. O'Hearne said he had a problem adjourning and going into a public forum because some members of the public had left. He thinks the public forum needs to be rescheduled.

Mr. Pope thinks the public forum should be rescheduled.

Ms. Kier agreed there should be another public forum, but there are still a lot of people here to ask questions tonight. Mr. Stone and Mr. Damren concurred with that option.

Mayor Lovett said the Policy Committee is scheduled to meet tomorrow, 6 p.m., Visitors Center. They will investigate the structure of a board of assessors.

ADJOURNMENT

At 8:46 p.m., a motion was made by Mr. Damren and seconded by Mr. Pope to adjourn.

Voice vote: motion carried 8-1 with Mr. O'Hearne voting no.

Respectfully Submitted,

Dorée M. Russell
Clerk to the Council